SL. No.1

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH

COURT HALL NO: II

Hearing Through: VC and Physical (Hybrid) Mode

CORAM: SHRI. RAJEEV BHARDWAJ – HON'BLE MEMBER (J)
CORAM: SHRI. SANJAY PURI - HON'BLE MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 28.07.2025 at 10:30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	**CP (CAA)/70/230/HDB/2023**
NAME OF THE COMPANY	**Well Fargo International Services Pvt Ltd (Transferor Co.) And Well Fargo International Solutions Pvt Ltd (Transferee Co.)**
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	**230 of Companies Act**

ORDER

Orders pronounced, recorded vide separate sheets. In the result, the CP (CAA)/70/230/HDB/2023 is allowed.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH, COURT – II

CP (CAA) No.70/230/HDB/2023

Connected with

CA (CAA) No.38/230/HDB/2023

[U/s 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013]

In the matter of Scheme of Amalgamation

Amongst

M/s. Wells Fargo International Services Private Limited
(1st Petitioner Company/Transferor Company)

And

M/s. Wells Fargo International Solutions Private Limited
(2nd Petitioner Company/Transferee Company)

And

Their Respective Shareholders and Creditors

M/s. Wells Fargo International Services Private Limited
Registered Office: 1263/A, Jubilee Hills
Near Jubilee Hills Check Post
Hyderabad – 500 033.

… 1st Petitioner Company/ Transferor Company

M/s. Wells Fargo International Solutions Private Limited
Registered Office: Wells Fargo Centre
Building 1A, Divyasree NSL
SEZ Survey No.66/1
Raidurg Village, Serilingampalli
Hyderabad – 500 032.

… 2nd Petitioner Company/ Transferee Company

Date of Order: 28.07.2025

CP (CAA) No. 70/230/HDB/2023
Connected with
CA (CAA) No.38/230/HDB/2023
Date:28.07.2025

CORAM:

Shri Rajeev Bhardwaj, Hon'ble Member (Judicial)
Shri Sanjay Puri, Hon'ble Member (Technical)

Counsel/Parties Present:

For the Petitioners	:	Mr. Saji P John, Advocate
For the RD	:	Mr. Satish Kumar, Assistant Director
For the OL	:	Mr. Vasantarao Meshram, Assistant Director
For the IT Dept.	:	Ms. Bokaro Sapna Reddy, Advocate

[PER: BENCH]

ORDER

1. The Petition has been jointly filed by the Petitioner Companies, under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 praying for sanction of the Scheme of Amalgamation ("**Scheme**")[1] amongst M/s. Wells Fargo International Services Private Limited (Transferor Company) with M/s. Wells Fargo International Solutions Private Limited (Transferee Company) and their respective shareholders and creditors in terms of the Scheme of Amalgamation ("**Scheme**").

2. Brief facts of the case:

I. 1st Petitioner Company / Transferor Company:

i. M/s. Wells Fargo International Services Private Limited (**1st Petitioner Company/ Transferor Company)** was incorporated on 26.12.2005 under the provisions of the Companies Act, 1956 with the Registrar of Companies (**RoC**), Tamilnadu, with the name and style of "Wachovia International Services Private Limited". Subsequently, the name of the Transferor Company was changed to "Wells Fargo International Services Private Limited and a fresh Certificate of

[1] Scheme – Annexure-A @ pg. 24 to 44 of the petition

Incorporation was issued on 07.07.2010. Thereafter, the Registered Office of the Transferor Company was shifted from the State of Tamilnadu to Telangana and was allotted a new CIN U72300TG2005PTC132325 on 08.03.2019 by the Regional Director, Hyderabad. The Registered Office of the Company is situated at 1263/A, Jubilee Hills, Near Jubilee Hills Check Post, Hyderabad, Telangana – 500 033.

ii. The Transferor Company is carrying on the business of providing back office support to all the entities of the parent company, to domestic and offshore companies including those companies engaged in banking and other business etc[2].

iii. The Shareholding Pattern of the Transferor Company as on 31.03.2023 is as follows:

Particulars	Amount in Rs.
Authorized Share Capital	
20,10,000 equity shares of Rs.10/- each	2,01,00,000/-
Issued, Subscribed and Paid-up Share Capital	
19,84,484 equity shares of Rs.10/- each, fully paid-up	1,98,44,840/-

Subsequent to 31.03.2023, there has been no change in the Authorized, Issued, Subscribed and Paid-up share capital of the Transferor Company[3].

II. <u>Second Petitioner Company/Transferor Company 2</u>:

i. **M/s. Wells Fargo International Solutions Private Limited (2nd Petitioner Company/ Transferee Company)** was incorporated on 28.08.2006 under the provisions of the Companies Act, 1956 with the Registrar of Companies (**RoC**), Andhra Pradesh with the name and style as "Wells Fargo Solutions India Private Limited". Subsequently,

[2] Copies of Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company are filed as Annexure-B @ pgs.45-77 of the petition.
[3] A copy of the Audited Financial Statements as on 31.03.2023 of the Transferor Company is filed as Annexure-C @ pg. nos.78-101 of the petition.

the name of the Transferee Company was changed to "Wells Fargo India Solutions Private Limited" and a fresh Certificate of Incorporation was issued on 25.09.2006. Thereafter, the name of the Transferee Company was changed with the ROC, Hyderabad, with the name and style as "Wells Fargo EGS (India) Private Limited" and a fresh Certificate of Incorporation was issued on 14.09.2017. Later, the name of the Company was changed as "Wells Fargo International Solutions Private Limited" and a fresh Certificate of Incorporation was issued on 10.07.2020, having CIN: U72200TG2006PTC051001.

ii. The Transferee Company is engaged in the business of software development, systems management, applications service provider, back-office support, IT Management and other IT services to its group companies[4].

iii. The Shareholding Pattern of the Transferee Company as on 31.03.2023 is as follows:

Particulars	Amount in Rs.
Authorized Share Capital	
60,00,000 equity shares of Rs.10/- each	6,00,00,000
Issued, Subscribed and Paid-up Share Capital	
52,12,834 equity shares of Rs.10/- each fully paid up.	5,21,28,340

There is no change in the Equity Share Capital of the Transferee Company as on the date of filing of this petition i.e. as on 10.11.2023[5].

3. **Board Resolutions of the Petitioner Companies:**

The Board of Directors of the Transferor Company and the Transferee Company at their respective Board Meetings held on 07.09.2022 &

[4] Copies of Certificate of Incorporation, Memorandum and Articles of Association of the Transferee Company are filed as Annexure-D @ pgs.102-136 of the Petition.
[5] A copy of the Audited Financial Statements as on 31.03.2023 of the Transferee Company is filed as Annexure-E @ pg. nos.137-186 of the Petition.

08.09.2022[6], have resolved to amalgamate their Business Undertakings pursuant to a Scheme of Amalgamation between M/s. Wells Fargo International Services Private Limited (Transferor Company) with M/s.Wells Fargo International Solutions Private Limited (Transferee Company) and their respective Shareholders and Creditors with Appointed Date as 01.04.2022.

4. According to the Petitioner Companies, the advantages of the proposed Scheme[7] are as follows:

   i. Simplification of group structure by eliminating multiple companies having similar objective or business.

   ii. Avoidance of duplication of efforts and reduction in administrative and operational costs.

   iii. Greater integration and financial strength for the amalgamated entity, which would result in maximising overall shareholder value, and will improve the financial position of the amalgamated entity.

   iv. Would lead to greater and efficient use of infrastructure facilities and optimum utilisation of the available resources.

3. The Chairperson & Scrutinizer[8] have submitted their Reports stating that 'the Meeting of the Equity Shareholders of the Applicant Company No.1 approved the Scheme of Amalgamation by passing a Resolution unanimously.

[6] Copies of the Board Resolutions of the Petitioner Companies are filed as Annexure-F @ pg. nos.187 to 190 of the application

[7] A copy of the Scheme of Amalgamation is filed as **Annexure-A @ pg. nos.24 to 44 of the application.**

[8] Reports are filed @ pg. nos.237 to 284 of the petition.

4. The Chairperson & Scrutinizer[9] have submitted their Reports stating that 'the Meeting of the Equity Shareholders of the Applicant Company No.2 approved the Scheme of Amalgamation by passing a resolution unanimously.

5. The Petitioner Companies have submitted the following Affidavits:

   i. No Sectorial Regulators[10]
   ii. No investigation proceedings[11]
   iii. No Corporate Debt Restructuring or Capital Reduction[12]

6. The instant Company Petition is filed in pursuance of the Order dated 31.05.2023[13] passed in CA(CAA)No.38/230/HDB/2023, in which requirement of convening meeting of the Equity Shareholders of the Applicant Company No.1 and convening meeting of the Equity Shareholders and Unsecured Creditors of the Applicant Company No.2 were ordered.

7. As per the directions of this Tribunal vide Order dated 31.05.2023, the Petitioner Companies issued notices to all the concerned Statutory Authorities i.e., Regional Director (SER) (**RD**), Registrar of Companies (**RoC**), Hyderabad, Official Liquidator (**OL**), Hyderabad, Income Tax Authorities (**IT Dept**.).

8. The Regional Director (South Eastern Region), Ministry of Corporate Affairs, Hyderabad has filed Report on 06.02.2025. In response, the Petitioner Companies have filed their Reply Affidavit to the Common Report of RD & ROC on 04.03.2025 and the RD has filed its further Report on 13.03.2025.

[9] Reports are filed @ pg. nos.237 to 284 of the petition.
[10] Annexure-L @ pgs. 285 to 288 of the petition
[11] Annexure-M @ pgs. 289 to 292 of the petition.
[12] Annexure-N @ pgs. 293 to 296 of the petition.
[13] Order dated 31.02.2023 is filed as Annexure-H @ pg. nos. 202 – 216 of the petition.

9. The observations made by the Regional Director and the clarifications and undertakings given by the Transferor Company and the Transferee Company (**Petitioner Companies**) are summarized, as below:

Page & Para Nos.	**RD's Report filed on 06.02.2025 / observations**	**Joint Reply Affidavit to the Common Report of RD & ROC filed on 04.03.2025 by the Petitioner Companies**	**RD's further Report filed on 13.03.2025 / observations**
Pg.2 para 3	This Directorate has received letter No. ROCH/Amal/230-232/2023/2282, dated 16.01.2025 from the Registrar of Companies, Hyderabad, pointing out certain observations as under:		
Pg.2 para 3(a)	The Petitioner Companies have filed their Annual Returns and Balance Sheets upto F.Y.2023-24.	The observation is correct and is not required to be traversed.	
Pg.2 para 3(b)	As per Clause 1.2 in Part A of the Scheme, 01.04.2022 is the Appointed Date for the proposed Scheme, which is more than 2 years old and therefore the Company be asked to explain the reason for such old date. Further, the Companies have prepared and filed Financial Statements for the year 2022-23 and 2023-24, hence the relevance of this Appointed Date is redundant.	The Appointed Date i.e. 01.04.2022 is in compliance with Section 232(6) of the Companies Act, 2013 and the Scheme shall take effect from such Appointed Date. Further, the Petitioner Companies are in compliance with the requirements clarified vide Circular No.7/12/2019/CL, dated 21.08.2019 issued by the Ministry of Corporate Affairs regarding Appointed Date. It is submitted that the Company Application was filed on 30.03.2023	Reiterated the reply filed by the Petitioner Companies and also submitted that the Hon'ble NCLT may look into the matter and Company may be directed to change the Appointed Date to latest date if deemed fit.

		whereas the Appointed Date mentioned in the Scheme is 01.04.2022. The Appointed Date as fixed in the Scheme precedes the date of filing of the Application however the Appointed Date is not ante-dated. The Board of Directors of the Petitioner Companies approved the Scheme of Amalgamation on 07.09.2022 and 08.09.2022. The Petitioner Companies thereafter filed the Company Application within One Year from the Appointed Date. Therefore, the Scheme is in compliance with the Circular. Para 6(c) which is reproduced below: 6(c): "Where the 'Appointed Date' is chosen as a specific calendar date, it may precede the date of filing of the Application for Scheme of Merger/Amalgamation in NCLT. However, it the 'Appointed Date' is significantly ante-dated beyond a year from the date of filing, the justification for the same would have to be specifically brought out in the Scheme and it should not be against public interest".	

		It is further submitted that filing of Financial Statements are statutory compliances to be complied under the Companies Act, 2013 and this may not be considered as a reason to change the Appointed Date.	
Pg.2 para 3(c)	The Petitioner Companies may be directed to comply with the provisions under Foreign Exchange Management Act, 1999 and other applicable provisions as the shareholders of the Companies are foreign entities.	The Petitioner Companies undertake to comply with the applicable provisions of FEMA Act and RBI Regulations, as applicable.	
Pg.2 para 3(d)	There are 2 directors in Transferor Company and both have been appointed on 15.01.2024 and 30.05.2023 i.e. after the Appointed Date i.e. 01.04.2022. Further, in Transferee Company 11 Directors out of the total 14 Directors have been appointed in the year 2023 and 2024 i.e. after the Appointed Date i.e. 01.04.2022. The Companies be asked to explain their appointments after Appointed Date.	The Director Appointments in Petitioner Companies are in the ordinary course of business and in compliance with the provisions of the Companies Act, 2013.	Reiterated the Reply filed by the Petitioner Companies.
Pg.2 para 3(e)	The Appointed Date is 01.04.2022 and the Valuation Report dated 21.07.2022 is also	The Petitioner Companies are Private Limited Companies and	It is submitted that a New Valuation Report / Share Exchange Report

	based on the figures of Financial Year 31.03.2021 i.e. the Valuation Report and Share Exchange Ratio is two years old and does not reflect the true value of the assets and liability of both the companies. Hence, Companies may be asked to submit the Valuation Report based on the latest Financial Statement i.e. 31.03.2024.	the shareholders of the Petitioner Companies have approved the Scheme, which provides for Share Exchange Ratio. Further, as stated in Para 3 of this Reply Affidavit, the Scheme is in compliance with the requirements clarified vide Circular No.7/12/2019/CL, dated 21.08.2019 issued by the Ministry of Corporate Affairs regarding Appointed Date. The Petitioner Companies filed the 1st stage Company Application on 30.03.2023 itself. In view of the above mentioned facts, a New Valuation Report / Share Exchange Report is not required to be obtained.	is not required to be obtained as stated by the Company and may be taken on record.
Pg.3 para 3(f)	The Scheme at para no.5 mentions that the Transferor Company does not have any employees or contractors, whereas as per Financial Statement for the year 2020-2021 and 2021-2022 there is total income of Rs.1.57 crores and Rs.1.29 crores respectively. The Company may be asked to explain as to how the income is generated.	It is submitted that the Income is interest on fixed deposits made by the Transferor Company.	Reiterated the Reply filed by the Petitioner Companies.

Pg.3 para 3(g)	The ultimate holding Company of Petitioner Companies is Wells Fargo and Company, San Francisco, CA, USA, which seems to be public foreign entity, hence both the Petitioner Companies are deemed to be considered as a Public Company and require to file the MGT-14 with MCA. However, in the instant case, the Companies have not filed the MGT-14. The Petitioner Companies be asked to file the MGT-14.	It is submitted that Wells Fargo and Company, San Francisco is a Company registered in USA and it is not an Indian Company. The deeming provisions under Section 2(71) of the Companies Act, 2013 are applicable only where the Holding Company is an Indian Company. In view of this, the Petitioner Companies are Private Limited Companies and are not required to file Form MGT-14.	Reiterated the Reply filed by the Petitioner Companies and submitted that Hon'ble NCLT may kindly look into the matter.
Pg.3 para 3(h)	From para 9 of the Report of Result of Meetings by Chairperson, it is stated that out of 128 Unsecured Creditors of the Transferee Company, 30 Unsecured Creditors attended the meeting. Out of which, only 16 Unsecured Creditors produced the relevant documents, hence, only 16 Unsecured Creditors representing Rs.13,37,71,317/- of Unsecured Loan which is only 4% of total value of unsecured debts attended the meeting. Whereas Section 230(1) & (6) of the Companies Act, 2013 states that majority of persons representing three-fourths in value of Creditors should agree to any compromise or arrangement.	The Petitioner Companies issued Notice of the meeting to all its unsecured Creditors as well as carried out Newspaper Publication in "Business Standard" and "Nava Telangana". Pursuant to the said intimations, 30 Unsecured Creditors turned up for the meeting and 14 Unsecured Creditors did not carry valid Authorisation. Hence, the Chairperson appointed by this Hon'ble Tribunal considered the 16 Unsecured Creditors for Quorum and voting. As	Reiterated the reply of the Petitioner Companies and also submitted that the reply of the Company may be considered in the matter.

	However, in the instant case, only 4% of the Unsecured Creditors agreed to the Scheme. In this regard, the Petitioner Companies may be directed to explain as to how the interest of Unsecured Creditors is being protected by the Company.	per Section 230(1) and 230(6) of the Companies Act, 2013 Scheme has to be approved by three fourth in value of the Creditors who were present and voted. In this case, the Scheme was approved by 100% of the Creditors who were present and voted. Further, Clause 4 of the Scheme safeguards the Creditors as all the liabilities of the Transferor Company will be taken over by Transferee Company pursuant to the merger.	
Pg.3 para 3(i)	The Petitioner Companies may be directed to preserve its books of Accounts and papers and records and shall not be dispose off without the prior permission of the Central Government in terms of the provisions of Section 239 of the Companies Act, 2013.	The Transferee Company undertakes to preserve the Books and Accounts of Transferor Company post-merger in accordance with Section 239 of the Companies Act, 2013.	
Pg.3 para 3(j)	The Petitioner Companies may be directed to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the Applicant Company shall not be absolved for any of its statutory liability in any manner.	The Transferee Company undertakes to settle the statutory liabilities of Transferor Company, if any, as and when the dues are crystallised.	

Pg.4 para 3(k)	The Transferee Company shall pay the differential fee and stamp duty payable on the increase in Authorised Capital after deducting such fees and duties paid by the Transferor Company before the merger.	The Transferee Company undertakes to pay the differential fee, if any, for clubbing of Authorised Share Capital of Transferor Company with Transferee Company pursuant to the merger.	
Pg.4 para 3(l)	The Petitioner Companies involved in the Scheme may be directed to comply with Rule 17(2) of "The Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of Scheme to be filed in Form No.INC-28 with the Office of ROC by the Petitioner Company.	The Petitioner Companies Undertake to file Form INC-28 with ROC upon receipt of the final Order sanctioning the Scheme.	
Pg.4 para 4	The Directorate has received the report of the Official Liquidator vide Report No.44 of 2024, dated 21.11.2024 which may be taken on record including the further affidavits filed, if any, before approval of the Scheme.	The Petitioner Companies have filed Reply Affidavit to the Report of Official Liquidator vide Diary No.3607130027952023 /5 on 06.02.2025.	
Pg.4 para 5	With reference to this Directorate's letter dated 14.09.2023, issued to the Addl. Commissioner of Income Tax, Hyderabad, till date no reply/comments in the matter have not been received. Hon'ble Tribunal may be pleased to direct the Petitioner Companies to furnish an	The Transferor Company has received the Final Order from AO alongwith refund, hence, this matter is closed.	The reply of the Petitioner Companies may be considered and the Applicant may be directed to pay the dues of the Income Tax, if any, arise in future.

	Undertaking that, if any, demand arises from the Income Tax Department with respect to the Petitioner Companies, the Transferee Company shall pay the said dues as per rules.		
Pg.4 para 6	On examination of the contents of the Scheme, the replies of the Petitioner Companies, the Deponent endorses the observations of the Registrar of Companies and further makes the following additional observations:		
Pg.4 para 6 (a)	The Appointed Date mentioned in the Scheme is 01.04.2022, which is more than two years and the Company may be directed to change the date to a latest date.	The Appointed Date i.e. 01.04.2022 as mentioned in the Scheme is in compliance with Section 232(6) of the Companies Act, 2013 and the Scheme shall take effect from such Appointed Date. Further, the Petitioner Companies are in compliance with the requirements clarified vide Circular No.7/12/2019/CL, dated 21.08.2019 issued by the Ministry of Corporate Affairs regarding Appointed Date. It is submitted that the Company Application was filed on 30.03.2023 whereas the Appointed Date mentioned in the Scheme is 01.04.2022. The Appointed Date as fixed in the Scheme	Reiterated the reply filed by the Petitioner Companies and also submitted that the Hon'ble NCLT may look into the matter and Company may be directed to change the Appointed Date to latest date if deemed fit.

		precedes the date of filing of the Application however the Appointed Date is not ante-dated. The Board of Directors of the Petitioner Companies approved the Scheme of Amalgamation on 07.09.2022 and 08.09.2022. The Petitioner Companies thereafter filed the Company Application within One Year from the Appointed Date. Therefore, the Scheme is in compliance with the Circular. Para 6(c) which is reproduced below: *6(c): "Where the 'Appointed Date' is chosen as a specific calendar date, it may precede the date of filing of the Application for Scheme of Merger/Amalgamation in NCLT. However, it the 'Appointed Date' is significantly ante-dated beyond a year from the date of filing, the justification for the same would have to be specifically brought out in the Scheme and it should not be against public interest".* It is further submitted that filing of Financial Statements are statutory compliances to be	

		complied under the Companies Act, 2013 and this may not be considered as a reason to change the Appointed Date.	
Pg.5 para 6(b)	Since there are Foreign Body Corporate Shareholders in the Petitioner Companies, the Petitioner Companies may be directed to comply with FEMA/RBI Regulations and also furnish an Undertaking before the Hon'ble NCLT in this regard.	The Petitioner Companies undertake to comply with the applicable provisions of FEMA Act and RBI Regulations, as applicable.	
Pg.5 para 6(c)	The Petitioner Companies have obtained Valuation Report in 2022 i.e. 21.07.2022 which was based on the Financials for the year ended 31.03.2021, hence the Petitioner Companies may be directed to furnish a fresh Valuation Report based on the latest Financial Statements dated 31.03.2024.	The Petitioner Companies are Private Limited Companies and the shareholders of the Petitioner Companies have approved the Scheme, which provides for Share Exchange Ratio. Further, as stated in Para 3 of this Reply Affidavit, the Scheme is in compliance with the requirements clarified vide Circular No.7/12/2019/CL, dated 21.08.2019 issued by the Ministry of Corporate Affairs regarding Appointed Date. The Petitioner Companies filed the 1st stage Company Application on 30.03.2023 itself. In view of the above-	It is submitted that a New Valuation Report / Share Exchange Report is not required to be obtained as stated by the Company and may be taken on record.

		mentioned facts, a New Valuation Report / Share Exchange Report is not required to be obtained.	
Pg.5 para 6(d)	The Authorised Share Capital of the Transferor Company is being merged with the Authorised Share Capital of the Transferee Company consequently upon amalgamation of the Petitioner Companies. In this regard, the Transferee Company may be directed to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 and pay the differential fee after setting off the fee already paid by the Transferor Company and furnish an Undertaking before the Hon'ble NCLT.	The Transferee Company undertakes to pay the differential fee, if any, for clubbing of Authorised Share Capital of Transferor Company with Transferee Company pursuant to the merger.	
Pg.5 para 6(e)	As per the Financial Statements of the Transferor Company as at 31.03.2023, there are disputed Income Tax statutory dues pertaining to Assessment Year 2018-19 and the matter is pending with the said Department. In this regard, the Transferee Company may be directed to furnish an Undertaking stating that the dues will be settled by the Transferee Company once the same are crystallised and demand if made by the said Department.	The Transferor Company has received the Final Order from AO alongwith refund, hence, this matter is closed.	The reply of the Company may be considered and the Applicant may be directed to pay the dues of the Income Tax, if any, arise in future.

Pg.5 para 6(f)	As the shares allotted to the foreign company by the Transferor Company is yet to get the approval of RBI, the Petitioner Companies may be directed to obtain the NOC of RBI with regard to the Scheme of Amalgamation before the Scheme is approved.	The shares which are allotted to Foreign Company by Transferor Company is pending for approval by RBI. The Transferor Company is following up with RBI for the same. Based on the outcome of the directions of RBI, the Transferee Company will identify the Shareholders of Transferor Company using the share Exchange Ratio for the earlier Scheme of Amalgamation and accordingly allot its shares as per the Share Exchange Ratio of the instant Scheme. The Petitioner Company No.2 undertakes to complete all the necessary actions to validate the transfer of shares from Reserve Bank of India and implement the orders of the Hon'ble NCLT passed pursuant to the approval of Scheme of Amalgamation of Wachovia Technology Planning & Solutions Private Limited with Petitioner Company No.1 and the instant Scheme.	Reiterated the reply of the Petitioner Companies.

Hence, from the above report of the RD, it can be understood that there are no tenable objections raised except to change the Appointed Date to latest date.

10. The Official Liquidator (OL) made certain observations in his report filed on 22.11.2024 and further Report filed on 13.03.2025. In response, the petitioner companies filed their joint reply affidavit on 13.02.2025 and 07.04.2025. The observations made by the Official Liquidator and the undertakings given by the Petitioner Companies are summarized in the table below:

Page and Para Nos.	**Observations of the Official Liquidator report filed on 22.11.2024**	**Joint Reply Affidavit to the report of the official liquidator filed by petitioner companies on 13.02.2025**	**Observations of the Official Liquidator's Further Report filed on 13.03.2025**	**Joint Reply Affidavit to the report of the official liquidator filed by petitioner companies on 07.04.2025**
Page No.6 Para No.22 (1)	Clause 5.1 of Part-B of the Scheme seeks to protect all the staff, workmen and employees of the Transferor Company, if any, in service on the Effective Date. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an Undertaking to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who were in service as on Appointed Date (i.e. 01.04.2022) as well.	The Petitioner Companies undertake not to retrench any employees as on Appointed Date on account of the merger.	No further observations	--
Page No.6 Para No.22 (2)	Clause 10.1 of Part-C of the Scheme provides for clubbing of Authorised Capital. However, as per the Clause, the Authorised Capital of the Transferee Company shall automatically stand increased without payment of any further fees / stamp duty.	The Transferee Company undertakes to pay the differential	No further observations	--

	This terms in the Scheme is no in line with the provisions of Section 232(3)(i) of the Companies Act, 2013. In this regard, the Transferee Company shall comply with the provisions of the aforementioned section and pay the difference fee, if any, after setting off the fee already paid by the Transferor Company on its respective capital.	fee, if any, for clubbing of Authorised Share Capital of Transferor Company with Transferee Company pursuant to the merger.		
Page No.6 Para No.22 (3)	As per Clause 11 of Part-D of the Scheme "The merger of the Transferor Company with the Transferee Company shall be accounted by the Transferee Company as per the "Pooling of Interest Method" provided under Indian Accounting Standard (Ind AS) 103, 'Business Combinations' notified under Section 133 of the Act, as amended from time to time. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an Undertaking to the effect that "they will not deviate from the provisions of Indian Accounting Standard (Ind AS) 103 (Accounting for Amalgamations)".	The Petitioner Companies undertake to not deviate from the provisions of Indian Accounting Standards (Ind AS) 103 Accounting for Amalgamation.	No further observations	--
Page No.6 Para No.22 (4)	As per Clause 14 of Part-E of the Scheme "On the Scheme becoming effective, the Transferor Company shall stand automatically dissolved, without going through the process of winding up"	The observation is correct and is not required to be traversed.	No further observations	--
Page No.6 Para No.22 (5)	As per the Financial Statement as at 31.03.2023 and 31.03.2022, the Transferor Company has no revenue from operations except other income in the form of interest on fixed deposits.	The observation is correct and is not required to be traversed.	No further observations	--
Page No.7	As per Note 2.2 of the Financial Statements of the Transferor Company as at 31.03.2023,	The observation is	No further observations.	

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<td>Para No.22 (6)</td>
<td>an amount of Rs.7.00 crores has been shown as Securities Premium. In this regard, the Transferor Company vide letter dated 14.10.2024 submitted that such security premium is received on issue of equity shares to Wachovia Bank National Association, USA and Wells Fargo Bank National Association, USA. The details are given below:
<table>
<tr><th>Year</th><th>Share-holder</th><th>Parti-culars</th><th>No. of shares</th><th>Valu e of shar e</th><th>Securiti es premiu m per share</th><th>Total share premium</th></tr>
<tr><td>2009</td><td>Wachovia Bank National Association, USA</td><td>Fresh issue of shares</td><td>66,483</td><td>10</td><td>5</td><td>332,415</td></tr>
<tr><td>2012</td><td>Wells Fargo Bank National Association, USA</td><td>Fresh issue of shares</td><td>999,990</td><td>10</td><td>70</td><td>69,993,000</td></tr>
<tr><td colspan="6">Total Premium</td><td>70,325,415</td></tr>
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<td>correct and is not required to be traversed.</td>
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<tr>
<td>Page No.7 Para No.22 (7)</td>
<td>As per Annexure-A to the Independent Auditor’s Report on the Financial Statements of the Transferor Company for the year ended 31.03.2023, an amount of Rs.25,72,570/- shown as disputed statutory due relating to Income Tax of the A.Y.2018-19. In this regard, the Transferor Company vide Letter dated 14.10.2024 submitted that for A.Y. 2018-19 the rectification order U/s 154 of the Income Tax Act, 1961 (IT Act) has been passed after making a disallowance of provision of gratuity amounting to Rs.93,37,815/-. As a result of the same, the Transferor Company filed an appeal with the Commissioner of Income Tax Appeals (‘CIT(A)’) and the CIT (A) passed its order in favour of Transferor Company. CIT(A) has directed the Assessing Officer (AO) to verify and allow the claim. Currently the matter is pending with AO. Hence, this Hon’ble Tribunal may be pleased to direct the</td>
<td>The Transferee Company has received the final order dated 03.12.2024 from the Assessing Officer (AO) where the demand payable is NIL and the Transferee Company undertakes to comply with such order of AO. A copy of the Order</td>
<td>No further observations</td>
<td>--</td>
</tr>
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<table>
<tr><td></td><td>Transferee Company to submit an undertaking before this Hon’ble Tribunal to the effect that they will comply with the outcome of the above said case.</td><td>issued by Assessing Officer is annexed as Annexure-1 of the reply affidavit.</td><td></td><td></td></tr>
<tr><td>Page No.7 Para No.22 (8)</td><td>There are foreign shareholders in the Transferor Company, therefore, the Transferor Company shall undertake to comply with the provisions of FEMA Act.</td><td>The Petitioner Companies undertake to comply with the applicable provisions of FEMA Act.</td><td>No further observations</td><td>--</td></tr>
<tr><td>Page No.7 Para No.22 (9)</td><td>As per Note 2.28 to the financial statements as at 31.03.2023, the Company has received an objection from the RBI on 11.09.2017 regarding the allotment of shares to non-resident investor(s) by the Company in the matter of Scheme of Amalgamation of Wachovia Technology Planning & Solutions Private Limited (Transferor Company) with Wells Fargo International Services Private Limited (Transferee Company). In this regard, the Transferor Company vide letter dated 14.10.2024 submitted that there was a transfer of the equity shares of the Company (known as Wachovia Technology Planning & Solutions Private Limited at that time) between a resident shareholder and a non-resident company, that took place in the year 2007 as described below, and the same was not taken on record by the RBI:
<table>
<tr><th>Date</th><th>Name of Transferor</th><th>Name of Transferee</th><th>No. of shares transferred</th></tr>
<tr><td>14.09.2007</td><td>Mr.Subodh Joglekar</td><td>Macroworld Research Corporation (these shares were later</td><td>9999</td></tr>
</table></td><td>It is submitted that based on the outcome of the directions of RBI, the Transferee Company will identify the Shareholders of Transferor Company using the Share Exchange Ratio for the earlier Scheme of Amalgamation and accordingly allot its shares as per</td><td>The reply of the Petitioner Companies is not satisfactory.

The Petitioner Companies have submitted that based on the outcome of the directions of RBI, the Transferee Company will identify the shareholders of Transferor Company and allot its shares as per the orders passed by the Hon’ble NCLT in the year 2016.

In this regard, it is submitted that as stated in the Official Liquidator’s Report dated 21.11.2024,</td><td>It is clarified that equity shares of Wachovia Technology Planning & Solutions Private Limited were transferred from a resident shareholder to a non-resident company. Subsequently, a Scheme of Amalgamation between Wachovia Technology Planning & Solutions Private Limited and Wells Fargo Services /Transferor Company came to be sanctioned by</td></tr>
</table>

		transferred to Wells Fargo Bank, N.A. and being a transfer between 2 non-residents, it did not need to be reported in India)				
	Further, pursuant to the amalgamation of Wachovia Technology Planning & Solutions Private Limited with Wells Fargo International Services Private Limited in the year 2016, the Resulting Company was required to allot equity shares to the shareholders. In view of the allotment of shares, the Company reported Form FC-GPR on the RBI's erstwhile E-biz platform on 24.05.2017, and the form was rejected on the grounds that the earlier share transfer in the year 2007 (as captured above) had not been taken on record by the RBI. The Company further declared that they had submitted various representations before the RBI – Hyderabad Regional Office, providing the necessary bonafides and additionally requesting approval of Form FCTRS (reporting the earlier share transfer) in order to enable us to complete the necessary reporting with the RBI. However, the RBI – Hyderabad Regional Office was not in a position to accede to the Company's requests, and the Company has accordingly pursued the option of approaching and representing the matter before the RBI – Central Office. The Company has accordingly submitted an additional representation application through their Authorised Dealer Bank, HDFC Bank, for the purpose of the processing and			the Share Exchange Ratio of the instant Scheme. The Petitioner No.2 undertakes all the necessary actions to validate the transfer of shares from Reserve Bank of India and implement the orders of the Hon'ble NCLT pursuant to the approval of Scheme of amalgamation of Wachovia Technology Planning & Solutions Private Limited with Petitioner Company 1.	Wells Fargo International Services Private Limited (Transferor Company) has not complied with the directions of the Hon'ble NCLT passed in the matter of Scheme of Amalgamation of Wachovia Technology Planning & Solutions Private Limited (Transferor Company) with Wells Fargo International Services Private Limited (Transferee Company) in the year 2016, with regard to the allotment of equity shares to the shareholders of Wachovia Technology Planning & Solutions Private Limited. Further, if this Hon'ble Tribunal allows the present Scheme, then the Transferor Company (Wells Fargo International Services Private Limited), will be dissolved as per Clase 14 of Part-E of the Scheme and to validate the transfer	the Hon'ble High Court of Madras vide Order dated 08.01.2016. Subsequent to the merger, shares were issued/allotted to the non-resident shareholders of the Transferor Company in 2016 and the same was reported to the Reserve Bank of India ('RBI') by filing of Form FC-GPR, in adherence with the Foreign Exchange Management Act, 1999 and its Rules and Regulations ('FEMA Regulations'). However, the RBI rejected this filing on the grounds that the prior reporting during the share transfer in 2007 was not traceable in the records of the RBI. In light of this, Transferee Company has been in continuous communication

	submitting the same before the RBI – Central Office and is presently awaiting further processing of the said application. As per the information submitted by the Petitioner Companies, it is noticed that Wells Fargo International Services Private Limited (Transferor Company) is yet to comply with the directions of the Hon'ble NCLT passed in the matter of Scheme of Amalgamation of Wachovia Technology Planning & Solutions Private Limited (Transferor Company) with Wells Fargo International Services Private Limited (Transferee Company) in the year 2016, by allotting equity shares to the shareholders of Wachovia Technology Planning & Solutions Private Limited. Further, if this Hon'ble Tribunal allows the present Scheme, then the Transferor Company (Wells Fargo International Services Private Limited), will be dissolved as per Clause-14 of Part E of the Scheme and to validate the transfer of shares in 2007 and implementation of the Scheme allowed by the Hon'ble Tribunal in the year 2016 will not be possible. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor Company (Wells Fargo International Services Private Limited) to validate the transfer of shares done in 2007 between Mr. Subodh Joglekar and Macroworld Research Corporation (these shares were subsequently transferred to Wells Fargo Bank, N.A.) from Reserve Bank of India and implement the orders of the Hon'ble NCLT passed in the year 2016 for such shares and until then, the sanction of Scheme of Amalgamation may be kept in abeyance. The petition may be decided on merits.		of shares in 2007 and implementation of the Scheme allowed by the Hon'ble Tribunal in the year 2016 will not be possible. Such Scheme approved by the Hon'ble NCLT is still not implemented till date. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor Company (Wells Fargo International Services Private Limited) to validate the transfer of shares done in 2007 between Mr. Subodh Joglekar and Macroworld Research Corporation (these shares were subsequently transferred to Wells Fargo Bank, N.A.) from Reserve Bank of India and implement the orders of the Hon'ble NCLT passed in the year 2016 for such shares and until then, the sanction of Scheme of Amalgamation may be kept in abeyance.	with the RBI and the Authorised Dealers ('AD') bankers to resolve the issue. The Company has consistently complied with regulations and remains committed to maintaining compliance in the future and Transferee Company undertakes to follow up with RBI for approval of the pending Form FC-GPR pursuant to the sanction of the merger by Hon'ble NCLT. Hence, it is clarified that the Shareholders of Transferor Company are clearly identified and as such there is no difficulty to allot shares of Transferee Company to the Shareholders of Transferor Company as consideration

				pursuant to the instant merger.

The Official Liquidator (OL) accepted the submissions made by the Petitioners and did not raise any objections for accepting the Scheme of Amalgamation of the Petitioner Companies.

11. **Accounting Treatment:**

M/s.BSR & Associates LLP, Chartered Accountants[14] has issued a Certificate confirming that the proposed Accounting Treatment is in Clause 11 of Part D of the Proposed Scheme and reproduced in Annexure A to this Certificate, is in conformity with Ind AS 103 'Business Combinations' i.e. the applicable Accounting Standards prescribed under Section 133 of the Companies Act, 2013 and other generally accepted accounting principles.

12. **Valuation:**

The Valuation Report and Recommendation of the Fair Share Exchange Ratio as certified by M/s. Ernst & Young Merchant Banking Services LLP, Registered Valuer is filed as **Annexure-G @ pg. nos.191 to 201 of the petition.**

13. **Consideration[15]:**

Upon this Scheme becoming effective and in consideration for the amalgamation of the Transferor Company with the Transferee Company, the Transferee Company shall, without any further application, act, instrument or deed, issue and allot Equity Shares, to the extent indicated below, to the members of the Transferor Company, holding fully paid-up equity shares in the Transferor Company and whose names appear in the Register of Members of the Transferor Company, on the Effective Date or to such of

[14] A copy of the Certificate is annexed as Annexure-P @ pgs. 297 to 301 of the application.
[15] @ pg.36 of the application

their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognised by the Board of Directors of the Transferor Company in the following proportion:

"6 (Six) fully paid-up Equity Shares of face value of Rs.10/- (Rupees Ten only) each of the Transferee Company shall be issued and allotted for every 1,000 (one thousand) fully paid-up equity shares of face value of Rs.10/- (Rupees Ten only) each held in the Transferor Company".

14. We have heard the Ld. Counsel for the Petitioner Companies and perused the material papers on record. Considering the entire facts and circumstances of the case and on perusal of the Scheme, Report of the Regional Director, Reply/Undertaking of the Petitioner Companies thereon and Further Report of the Regional Director, Reports of the Official Liquidator, Replies/Undertakings of the Petitioner Companies thereon and the documents produced on record, we consider the Scheme of Amalgamation is fair and reasonable and not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013.

ORDER

15. After hearing the Learned Counsel for the Petitioner Companies and considering the material on record, the following order is passed:

i. The Scheme of Amalgamation, as agreed by all its stakeholders which is filed as Annexure-A @ pg. nos. 24 to 44 of the application is hereby sanctioned and confirmed with Appointed Date as 01.04.2022 and shall be binding on all the members, employees, creditors, concerned statutory, regulatory authorities and all other stakeholders of the Petitioner Companies.

ii. While approving the Scheme, we make it clear that this Order should not be construed as an Order in anyway granting exemption from payment of stamp duty, taxes or any other charges, if any, payable, in accordance with

law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

iii. The whole of the assets, property, rights and Liabilities of the Transferor Companies shall be transferred without the requirement of any further act or deed to the Petitioner/Transferee Company.

iv. We direct the Petitioner Companies to comply with all the observations pointed out by the Regional Director and Official Liquidator, if any.

v. We direct the Petitioner Companies to preserve the books of accounts, papers and records and the same shall not be disposed of without the prior permission of the Central Government in terms of the provisions of Section 239 of the Companies Act, 2013.

vi. We direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present Scheme, the Petitioner Companies shall not be absolved from any of its statutory liabilities, in any manner.

vii. We direct the Petitioner Companies involved in the Scheme, to comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016. The Petitioner Companies within 30 days after the date of receipt of certified copy of the order, shall cause certified copy to be delivered in the Form INC-28 to the Registrar of Companies concerned for registration and on such certified copy being delivered, Registrar of Companies concerned shall take all necessary consequential action in respect of the Petitioner Companies.

viii. The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Regional Director (SER), MCA, Government of India, Hyderabad and Official Liquidator, Hyderabad.

ix. All the legal proceedings pending by/or against the Transferor Companies shall be continued by/or against the Transferee Company.

x. The tax implications, if any, arising out of the Scheme shall be applicable as per provisions of the Income Tax Act.

xi. The Transferee Company is directed to strictly comply with the Accounting Treatment Standards prescribed under Section 133 of the Companies Act, 2013.

xii. The sanction of the Scheme by this Tribunal shall not forbid the Revenue Authority from taking appropriate recourse for recovering the existing and previous tax liabilities of the Transferor and Transferee Companies.

xiii. We direct the Transferee Company to comply with the provisions of Section 2(41) of the Companies Act, 2013, if applicable.

xiv. The Transferor Companies shall be dissolved without going through the process of winding up.

xv. The Petitioner Companies shall until the completion of the Scheme of Amalgamation, file a statement in such form and within such time as prescribed with the Registrar every year duly certified by the Chartered Accountant or a Cost Accountant or a Company Secretary to the effect that the Scheme of Amalgamation is being complied in accordance with the orders of this Tribunal as required under Section 232(7) of the Companies Act, 2013.

xvi. All concerned shall act on a copy of this Order along with Scheme duly authenticated by the Deputy/Assistant Registrar of this Tribunal.

xvii. Any person shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

xviii. Accordingly, the Company Petition bearing CP(CAA) No. 70/230/HDB/2023 is allowed and stands disposed of.

Sd/-
SANJAY PURI
MEMBER (TECHNICAL)

Sd/-
RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Syamala